

Financial Analysis & Interpretation

1) Revenue and Growth Profile

In my analysis, I first examined the revenue growth trends of BMW, Mercedes-Benz, and Volkswagen to understand how each company evolved at the top-line level over the 2021–2025 period.

I observed that all three companies experienced a clear slowdown in revenue growth over time. While BMW and Mercedes showed strong growth in the earlier years, both companies entered a contraction phase towards the end of the period. Volkswagen followed a similar trajectory, although its revenue profile appeared relatively more stable, with growth flattening before turning slightly negative.

From a financial perspective, this indicates that external conditions became more challenging for the entire sector, but the degree of impact differed across companies. This makes revenue growth an important starting point, but not sufficient on its own to explain differences in financial performance.

2) Profitability Structure (Gross Margin, OPEX, EBIT)

After establishing the growth context, I focused on profitability, starting with gross margins, and then moving to operating cost structure (OPEX) and EBIT margin.

I found that Mercedes consistently maintained the strongest gross margin profile, clearly outperforming both BMW and Volkswagen throughout the period. However, all three companies showed a declining trend in gross profitability, indicating increasing cost pressure or reduced pricing power over time.

The more critical distinction emerged at the OPEX level. Mercedes was able to control its operating expenses more effectively relative to revenue, especially in the earlier years. BMW, in contrast, operated with a consistently higher cost burden, while Volkswagen occupied a middle position but also showed signs of increasing cost pressure.

This difference in cost structure directly translated into EBIT performance. Mercedes remained the strongest at the operating level, although its margins declined significantly over time. Volkswagen also experienced a gradual erosion in EBIT margins, but remained positive throughout the period.

BMW, however, showed a structurally weaker operating profile, with EBIT margins deteriorating year by year and eventually turning slightly negative in the final year.

From my perspective, this leads to a key conclusion:

The primary weakness for BMW is not revenue generation, but its inability to convert revenues into operating profit due to cost pressure and margin compression.

3) Net Profitability

I then analysed net profit margins to understand how operating performance translated into bottom-line results.

Mercedes showed the strongest net profitability overall. However, I noted that its 2021 performance was significantly influenced by a one-off effect from discontinued operations, which inflated the net margin. Excluding this effect, the trend shows a clear normalization and decline in profitability over time.

Volkswagen exhibited a moderate but steadily declining net margin, while BMW remained consistently weaker and more volatile.

This confirmed that differences observed at the EBIT level are not temporary, but ultimately flow through to net income and shareholder-level profitability.

4) Efficiency (Asset Turnover)

To complement the profitability analysis, I examined asset efficiency using asset turnover.

Here, I found a clear structural difference:

- BMW operates with significantly higher asset turnover, indicating a more efficient use of its asset base
- Mercedes and Volkswagen show lower turnover levels, suggesting less reliance on asset efficiency

This is a critical financial insight. While BMW underperforms in terms of margins, it partially compensates through higher efficiency in generating revenue from its assets. Mercedes, on the other hand, relies more on margin strength, while Volkswagen remains relatively balanced but without clear dominance in either dimension.

This highlights an important point:

Companies in the same sector can achieve performance through fundamentally different operating models (margin-driven vs efficiency-driven).

5) Return on Equity and DuPont Analysis

Finally, I combined all key drivers using the DuPont framework to analyze Return on Equity.

By decomposing ROE into:

- Net Profit Margin
- Asset Turnover
- Equity Multiplier

I was able to clearly identify the source of performance differences.

My findings were:

- BMW's ROE is supported primarily by high asset turnover, despite weaker margins
- Mercedes achieves strong ROE through higher profitability, but this advantage declines as margins compress
- Volkswagen shows a more moderate and declining ROE profile, without strong dominance in either margin or efficiency

This makes the underlying dynamics very clear:

ROE differences are not driven by a single factor, but by how each company combines profitability and efficiency.

6) Overall Conclusion

Based on the full analysis, I conclude that although BMW, Mercedes-Benz, and Volkswagen operate within the same industry, their financial performance diverges significantly due to differences in:

- Margin strength
- Cost structure
- Asset efficiency

Mercedes demonstrates the strongest profitability profile but faces a clear downward trend. BMW shows strong efficiency but struggles with profitability conversion. Volkswagen presents a more balanced but gradually weakening financial profile.

The key takeaway for me is the following:

Financial performance cannot be explained by growth alone; it must be understood through the interaction of margins, cost discipline, and asset efficiency.

This interaction ultimately defines how revenue translates into profitability and, ultimately, into shareholder returns.